TYPES OF INFLATION

Depending upon the range of increase, and its severity, inflation may be classified into three broad categories:

I. Low Inflation

Such inflation is slow and on predictable[11] lines which might be called small or gradual[12]. This is a comparative term which puts it opposite to the faster, bigger and unpredictable inflations. Low inflation takes place in a longer period and the range of increase is usually in 'single digit'. Such inflation has also been called as '***creeping inflation***'[12]. We may take an example of the monthly inflation rate of a country for six months being 2.3%, 2.6%, 2.7%, 2.9%, 3.1% and 3.4%. Here the range of change is of 1.1% and over a period of six months.

II. Galloping Inflation

This is a "***very high inflation***" running in the range of double-digit or triple digit (i.e. 20%, 100% or 200% a year)[13]. In the decades of 1970s and 1980s, many Latin American countries such as Argentina, Chile, and Brazil had such rates of inflation—in the range of 50 to 700 per cent. The Russian economy did show such inflation after the disintegration of the ex-USSR in the late 1980s.

Contemporary Journalism has given some other names to this inflation—*hopping inflation, jumping inflation* and *running or runaway inflation*.[14]

III. Hyperinflation

This form of inflation is '***large and accelerating***'[15] which might have the annual rates in million or even trillion[16] . In such inflation not only range of increase is very large but the increase takes place in a very short span of time, prices shoot up overnight.

The best example of hyperinflation that economists cite is of Germany after the First World War—in early 1920s. At the end of 1923, prices were 36